



Managing state pensions

Most governments use taxpayer money from current workers to fund pensions for those who have retired. Some governments invest taxpayer money to increase the overall pension fund.

How it works

In most countries, it is the current working generation that is funding the pensions of those who have reached retirement age, as well as the pensions of those who are due to retire. This is the case in the US, where Social Security contributions from current workers fund retirement benefits for those who

reach the age for Social Security. Governments need to ensure there is enough money to go around, a task that is all the more challenging because in most developed countries the population is aging, which means that fewer and fewer workers will be funding the pensions of an increasing number of older people.

Measuring how well pension funds are likely to meet current and future liabilities is key to the successful management of state pensions.

Managing contributions

In some countries, such as Chile and Japan, and at a state level in the US, pension managers invest the funds collected from taxpayers with the aim of keeping the amount of available money high enough to meet predicted demand. In other countries, any surplus in the pension fund (such as the National Insurance Fund in the UK) may be lent to the government, but in general it is simply used to pay for the pensions of people who have already retired.

Managing investments

In countries with sovereign wealth funds, the government invests taxpayers' contributions to increase the available money in the fund. Investment is usually in core assets, which are less risky but can still fluctuate. If stock markets rise, so do pension funds, and vice versa.

